

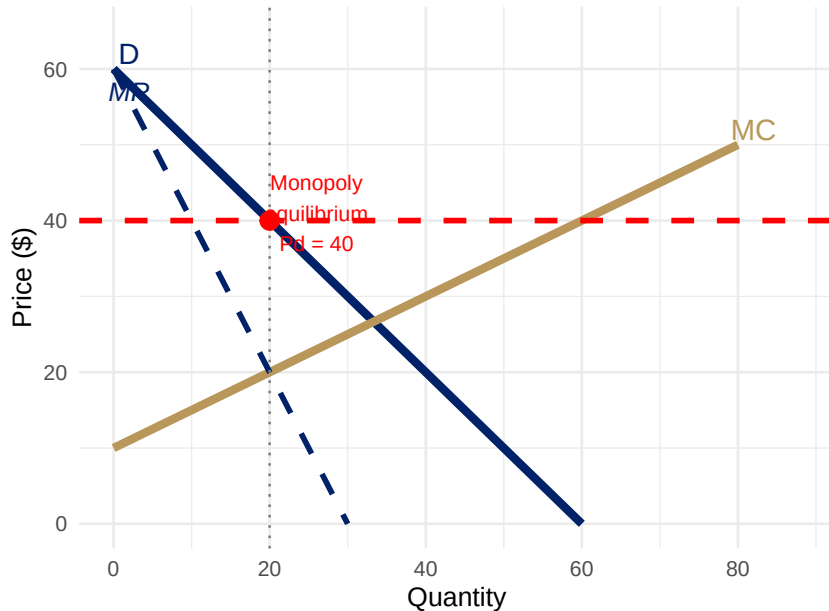
Dumping: Price Discrimination Between Domestic and Export Markets

Condition: (a) home market more inelastic than export market; (b) import barriers prevent arbitrage

Dumping margin = $P_d - P_x = 40 - 25 = \$15$ per unit

Domestic Market

Protected market $\rightarrow$ high price ($P_d = 40$)



Export Market

Competitive market $\rightarrow P_x = P_w = 25 < P_d$

